

# Nirma University

## Institute of Management

Trimester End Examination ( Make up ), October 2022

Master of Business Administration, Term-IV

Course Code & Title – MFT5SEEF05 Direct & Indirect Taxes

Roll / Exam No.

Supervisor's initial  
with date

Time: 3 Hours

Max. Marks : 100

Instructions:

1. Attempt all questions.
2. Figures to right indicate full marks.
3. **Marks are reserved for presentation and format.**
4. **All calculations and working notes should form part of your answers.**
5. **Answer in pencil will not be considered for evaluation.**

1. Mr. Abhay, a resident aged 40 years, and Mr. Kushal, a resident aged 39 years, are carrying out the business of shipping and courier of goods within India and abroad in the name of M/s. Fastest Courier & Co., partnership firm. The gross receipts of the firm during P.Y. 2020-21 was 1.80 crores while that in P.Y. 2021-22 was 1.60 crores. 80 % of the firm's gross receipts are received either through account payee cheques or through prescribed electronic mode while 20% of its gross receipts are received in cash. 20

The firm maintains its books of accounts on accrual basis. It has provided the following information for P.Y. 2021-22: -

| Particulars                                                                               | Amount (in Rs.)    |
|-------------------------------------------------------------------------------------------|--------------------|
| <b>Turnover (Sales)</b>                                                                   | <b>1,60,00,000</b> |
| <b>Expenses: -</b>                                                                        |                    |
| Purchase of Envelopes, Cartons etc. for used for courier                                  | 15,00,000          |
| Transportation Charges                                                                    | 18,00,000          |
| Staff Salary (Back Office & Admin Personnel)                                              | 13,00,000          |
| Staff Salary (Delivery Personnel)                                                         | 10,00,000          |
| Staff Welfare Expenses                                                                    | 1,50,000           |
| Bonus to staff (Back Office & Admin & Delivery Personnel)                                 | 8,60,000           |
| Depreciation of Office Building, Computers & Printers                                     | 3,70,000           |
| Salary to partners (as per the provisions of the Income Tax Act, 1961)                    | 13,50,000          |
| Interest to partners on their capital (as per the provisions of the Income Tax Act, 1961) | 9,60,000           |
| Printing & Stationery Expenses                                                            | 2,90,000           |
| Other expenses permissible as per the provisions of the Income Tax Act, 1961              | 24,60,000          |
| <b>Profit</b>                                                                             | <b>39,60,000</b>   |

Out of the bonus to staff mentioned above, nothing was paid by the firm till October 4, 2022. Further, out of the total salary expenses of back office and admin personnel

mentioned above, salary amounting to Rs. 1,50,000 to one of the employees for the month of March 2022 was paid without deducting TDS. Depreciation as per the provisions of section 32 of the Income Tax Act, 1961 amounted to Rs. 4,10,000. Staff welfare expenses were payable to Mr. Manoj. Out of the total staff welfare expenses mentioned above, expenses amounting to Rs. 20,000 were paid in cash on March 31, 2022 to Mr. Manoj.

In addition to the aforesaid business income, the firm has earned Long Term Capital Gains on sale of its building amounting to Rs. 9,00,000 and has also received dividend income of Rs. 6,30,000 from Indian companies after deducting TDS on the same.

The firm has also made a donation of Rs. 1,50,000 to the Clean Ganga Fund in March 2022 by account payee cheque. The firm has paid advance tax of Rs. 1,08,000 during the P.Y. 2021-22.

You are required to compute the following for M/s. Fastest Courier & Co. for P.Y. 2021-22 and A.Y. 2022-23 assuming that it opts for presumptive taxation available u/s 44AD of the Income Tax Act, 1961 that deals with Special provision for computing profits and gains of business on presumptive basis: -

- A. Total / Taxable Income
- B. Tax Liability
- C. Tax Payable

(**Hint:** - Kindly assume that Alternate Minimum Tax is not applicable to the partnership firm.)

2. DoWell Hospital Pvt. Ltd. was incorporated on January 30, 2021. The company was set up for building and operating a 150 bed hospital in Baroda, Gujarat. The company has spent on the following expenditures until March 31, 2021. All these expenditures were capitalized. The opening balance as on 01-04-2021 for DoWell Hospital Pvt. Ltd. is as follows: -

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| Expenditure                                                                              | Amount (in Rs.) |
|------------------------------------------------------------------------------------------|-----------------|
| Purchase of Land & Building (75 % of this cost is pertaining to Land)                    | 80,00,000       |
| Purchase of new plant & machinery (equipment required for operation theatres) from India | 50,00,000       |

The following expenses are incurred during P.Y. 2021-22:

| Expenditure                                                                                                               | Amount (in Rs.) |
|---------------------------------------------------------------------------------------------------------------------------|-----------------|
| Purchase of old furniture and fixtures (required for waiting area, canteen and staff rest area) from India                | 5,00,000        |
| Purchase of new plant & machinery (equipment required for canteen) from India                                             | 5,00,000        |
| Purchase of new furniture and fixtures (required for hospital rooms, doctor consultancy rooms and other area ) from India | 30,00,000       |
| Purchase of old plant & machineries (equipment required in hospital) from India                                           | 4,50,000        |
| Purchase of new plant & machinery like computers and printers (for accounting and administration)                         | 3,00,000        |

Purchase of old plant & machinery (Air conditioning and Refrigeration unit) from India

8,00,000

Calculate amount of deduction available to DoWell Hospital Pvt. Ltd. for A.Y. 2022-23 u/s 35 AD of Income Tax Act, 1961 that deals with Deduction in respect of expenditure on specified business. Kindly assume that the company did not opt for any alternative tax regime available u/s 115BAA of the Income Tax Act, 1961.

3. KTG Pvt. Ltd., an Indian company is engaged in providing management consultancy services. It was established in August 2019 by three friends: Mr. Keyur, Ms. Tanya and Mr. Gaurav. As per the memorandum of association (MOA) of the company, Mr. Keyur, Ms. Tanya and Mr. Gaurav have contributed Rs. 30 lakhs each as a capital to start KTG Pvt. Ltd. All the three shareholders are also the full-time directors of the company. Gross receipts of the company during the P.Y. 2020-21 was Rs. 100 lakhs and the company had filed its return on December 31, 2021 for the said P.Y. Gross receipts for P.Y. 2021-22 was Rs. 120 lakhs and the company has filed its return on September 30, 2022 for the said P.Y.

The following expenses were incurred during P.Y. 2021-22 and were debited to the Profit & Loss A/c of the firm for the year ended March 31, 2022: -

| Sr. No. | Particulars                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1       | A tax invoice of Rs. 59,000 was raised during the month of March 2022 by D & S Associates, Chartered Accountants for the professional fees charged for the P.Y. 2021-22. The invoice had the following break-up:-<br>Professional Fees = Rs. 50,000<br>CGST @ 9% = Rs. 4,500<br>SGST @ 9% = Rs. 4,500<br>Total Invoice Value = Rs. 59,000.                                                                                                          |
| 2       | TDS was deducted on the same but not deposited till the return filing date. Tea and refreshment expenses incurred during P.Y. 2021-22 amounted to Rs. 60,000. The payment of the same was made as under:-<br>Rs. 10,000 by using mobile banking on June 30, 2021, Rs. 20,000 by using internet banking on September 30, 2021, Rs. 20,000 cash on March 31, 2022. The remaining amount is not paid till the return filing date.                      |
| 3       | Monthly office rent of Rs. 35,000 is incurred and paid (through account payee cheque) to Mr. Sahil after deducting and depositing TDS. However, rent for the months of February and March 2022 were paid (through account payee cheque) to Mr. Sahil without deducting TDS.<br><br>TDS was neither deducted nor deposited till the return filing date by the company. The office of the company was on rented premises throughout the P.Y. 2021-22. |
| 4       | Provision of Income tax was created for Rs. 11,25,000 and the entire amount was paid through net banking till March 31, 2022.                                                                                                                                                                                                                                                                                                                       |
| 5       | Salary payable to Mr. Keyur, Ms. Tanya and Mr. Gaurav as directors amounted to Rs. 10 lakhs p.a. for each of them. Salary of Mr. Keyur and Ms. Tanya was computed based on their qualification and expertise. However salary of Mr. Gaurav based on his qualification and expertise should have been Rs. 8 lakhs p.a.                                                                                                                               |

|   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|---|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 6 | Commission to employees working in the marketing department accrued for the P.Y. 2021-22 amounted to Rs. 3,80,000. Only 50% of the commission was paid by the company till the return filing date.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| 7 | <p>Interest of Rs. 10,50,000 was incurred on borrowing of finance from various sources. Out of the total interest, Rs. 8,40,000 pertained to term loan and working capital loan borrowed from HDFC Bank Ltd. and the remaining amount of loan borrowed from Mulk Pvt. Ltd. (not a related person).</p> <p>Payment of interest was done as follows:<br/> Interest paid to HDFC Bank Ltd. - Rs. 6,10,000 till March 31, 2022, Rs. 1,00,000 on August 7, 2022 and Rs. 1,00,000 paid on September 9, 2022; and<br/> Interest paid to Mulk Pvt. Ltd. - Rs. 1,20,000 till March 31, 2022 and Rs. 80,000 paid on September 30, 2022.</p> <p>Unpaid interest, if any, was not paid by the firm till the return filing date.</p> |
| 8 | <p>Consultancy fees amounting to Rs. 45,000 has been incurred and paid during the P.Y. 2021-22 to Mr. Vaibhav (not an employee of the company), brother of Ms. Tanya. All the provisions relating to TDS have been complied with.</p> <p>However, as per the industry practice and based on his qualification and expertise, the consultancy fees cannot be more than Rs. 30,000.</p>                                                                                                                                                                                                                                                                                                                                   |

KTG Pvt. Ltd. maintains its books of accounts on accrual basis. You are required to compute the amount of disallowances for KTG Pvt. Ltd. for P.Y. 2021-22, A.Y. 2022-23 using the following format only: -

| Sr. No. | Particulars | Disallowance Amount (in Rs.) |
|---------|-------------|------------------------------|
| 1       |             |                              |

4. Mr. Gyan, a resident aged 32 years, wishes to start a manufacturing business in Pune, Maharashtra and he intends to contribute an amount of Rs. 30 lakhs as capital to start his new venture. The amount of Rs. 30 lakhs that he is contributing as his capital is his life time savings and also some amount is borrowed without any interest from his family. He expects this business to earn a return of 25% on the amount invested before payment of any taxes. 35

Mr. Pavan, has offered to join Mr. Gyan in his business and form a Private limited Company for the said business. Mr. Pavan, a resident aged 35 years, is a childhood friend of Mr. Gyan. Mr. Pavan and Mr. Gyan will be the only shareholders and will contribute an amount of Rs. 25 lakhs each to their capital to start the company. Both of them will be the full-time directors of the company. They expect the business to earn a return of 40 % on the amount invested before payments made for taxes or any payments made to them in the form of remuneration. The company is expected to incur salary expense for each director based on their qualification and expertise to be Rs. 5 lakhs p.a.

Mr. Pavan and Mr. Gyan, each of them, has also received Interest on fixed deposit (after deducting TDS) – Rs. 1.80 lakhs in their individual capacity. Each of them will



also be availing the maximum deduction permissible u/s 80C of the Income Tax Act, 1961 that deals with Deduction in respect of life insurance premia, deferred annuity, contributions to provident fund, subscription to certain equity shares or debentures, etc.

Mr. Gyan has to choose out of the two options available to him:

Option I – to start his manufacturing business as a sole proprietor and;

Option II – to start his manufacturing business forming a private limited company with Mr. Pavan.

You are required to compute the following for P.Y. 2022-23, A.Y. 2023-24: -

- A. Total / Taxable Income and tax liability of Mr. Gyan if he carries out business in a proprietary concern assuming that Mr. Gyan did not opt for the new personal tax regime available u/s 115BAC of the Income Tax Act, 1961.
- B. Total / Taxable income and tax liability of the Private Limited Company assuming that the company will opt for alternative tax regime available u/s 115BAB of the Income Tax Act, 1961 that deals with Tax on income of new manufacturing domestic companies.
- C. Total / Taxable income and tax liability for each of the directors assuming that Mr. Gyan and Mr. Pavan did not opt for the new personal tax regime available u/s 115BAC of the Income Tax Act, 1961.
- D. Suggest considering the income tax provisions whether Ms. Gyan should form a proprietary concern or private limited company. Why?

5. Wiz Pvt. Ltd., an Indian company, is engaged in manufacturing and is located in Uttar Pradesh. It is planning to venture into international market. It needs Rs. 20 crores of investment for the same. It expects to earn a return of 30 % before interest and tax on the total investment on its expansion. It has three options to raise the required finance for its expansion: -

Option I – 50 % equity by issuing shares of Rs. 100 each and the remaining 50 % by issuing 12 % debentures.

Option II – 60 % equity by issuing shares of Rs. 100 each and the remaining 40 % by borrowing a bank loan @ 12 % p.a. rate of interest.

Option III – 80 % equity by issuing shares of Rs. 100 each and the remaining 20 % by borrowing a bank loan @ 15 % p.a. rate of interest.

You are required to compute the following for all the options for Wiz Pvt. Ltd.

- a) Expected taxable profit
- b) Estimated tax liability on (a) above.
- c) Rate of return available for distribution to equity shareholders before Dividend Distribution Tax

(Hint: - Ignore surcharge and MAT for your calculations. Consider the tax rates for A.Y. 2023-24 for your calculations assuming that the company has not opted for any of the alternative tax regimes available to a company under the Income Tax Act, 1961.)

6. Explain with the help of an example, the set off of the Input tax credit available from IGST, CGST & SGST. 05